



Growth Strategies

There are a number of strategies you can use to help your business grow, depending on what you want to achieve. Once you have decided which option supports your objectives, you can start working toward it.

Planning to grow

Before committing to a growth strategy, first ensure there is sufficient demand to support your plans. If you are hoping to target similar customers as you do now, make sure your new plans will continue to meet their needs and expectations (see pp.40–41). Similarly, research the market thoroughly, as you did before

starting your business (see pp.42–43), to ensure sufficient demand and to identify what competition you will face. Finally, be certain that the financial rewards of your intended strategy exceed the costs of implementing it (see pp.80–81). As part of this, also try to evaluate the disruption your plans may bring to your existing business—and to your personal life.

58%
of small
businesses lack
a plan to grow

smallbusiness.co.uk, 2015



CASE STUDY

Zomato

Founded in 2008 in Delhi, India, as a simple restaurant listing service, Zomato operates in 24 countries and 10,000 cities. Key to its growth is a willingness to diversify: as well as listings and reviews, it now offers delivery, a membership program, and the option to book both a table for, and a taxi to, the venue via its app. Zomato has reached out to eateries, too. It helps owners develop their own apps, provides advice based on data from users, and offers digitized management services. Acquisitions and forging alliances with other companies helped it enter markets overseas.

Typical growth strategies

The four strategies shown here are based on a model proposed in 1957 by Igor Ansoff, a Russian American mathematician and business manager. The Ansoff Matrix is still used to explain common growth and expansion tactics.



Starting point

Your market stall sells organic tomatoes that you grow on your small farm. Every week you sell out of tomatoes and have to turn customers away.

